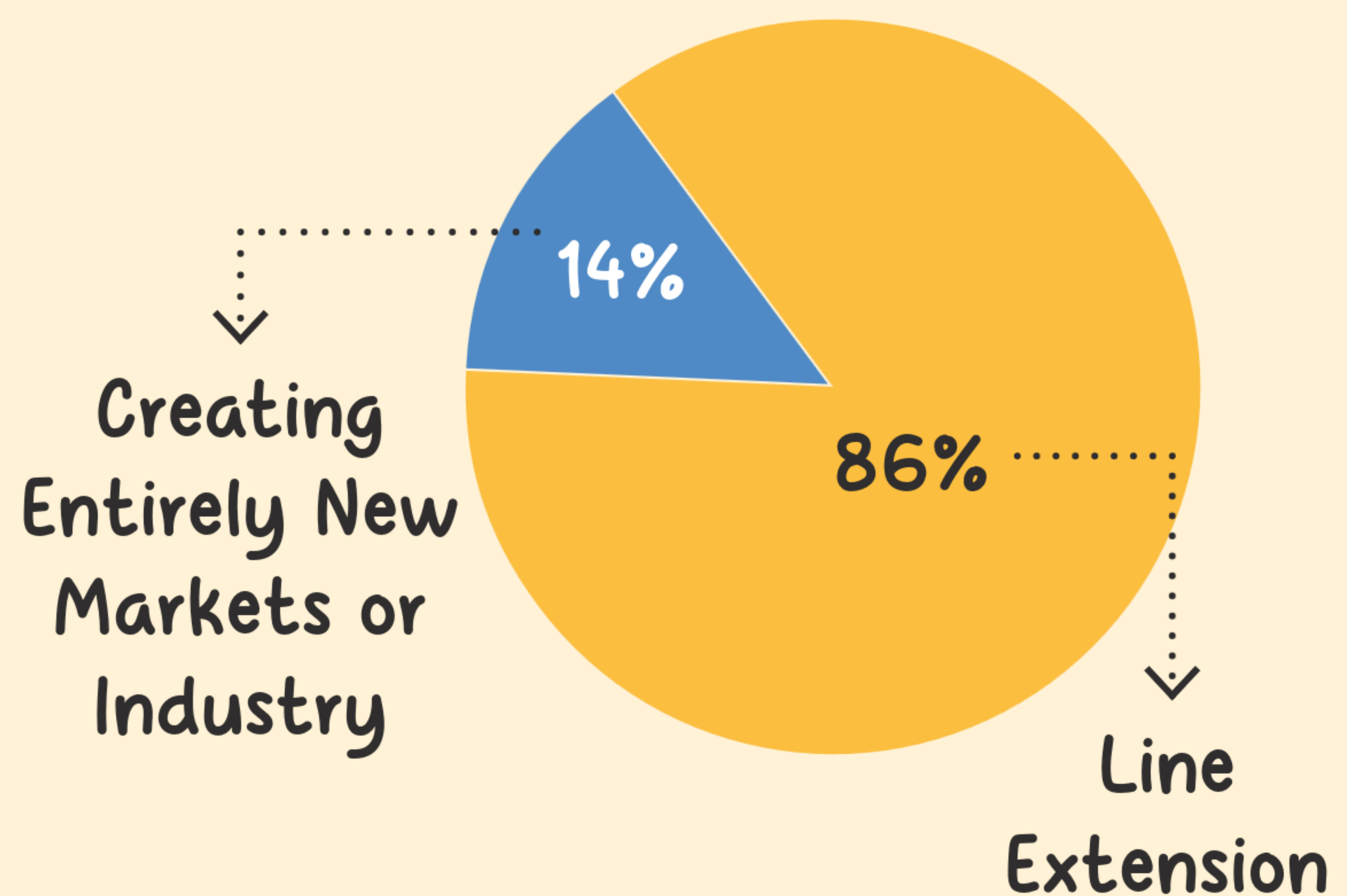


Startupology

In **blue oceans**, demand is generated rather than fought for, leading to profitable opportunities and rapid growth, whereas in **“red oceans,”** competition is fierce and companies fight over existing market share. The problem is that many companies find themselves stuck in these red oceans, where they focus on incremental improvements to existing products or services rather than exploring new market spaces.

For instance, a study of business launches across 108 companies found that a staggering 86% of new ventures were merely line extensions, small improvements to existing industry offerings. Only a minority, 14%, are aimed at creating entirely new markets or industries.

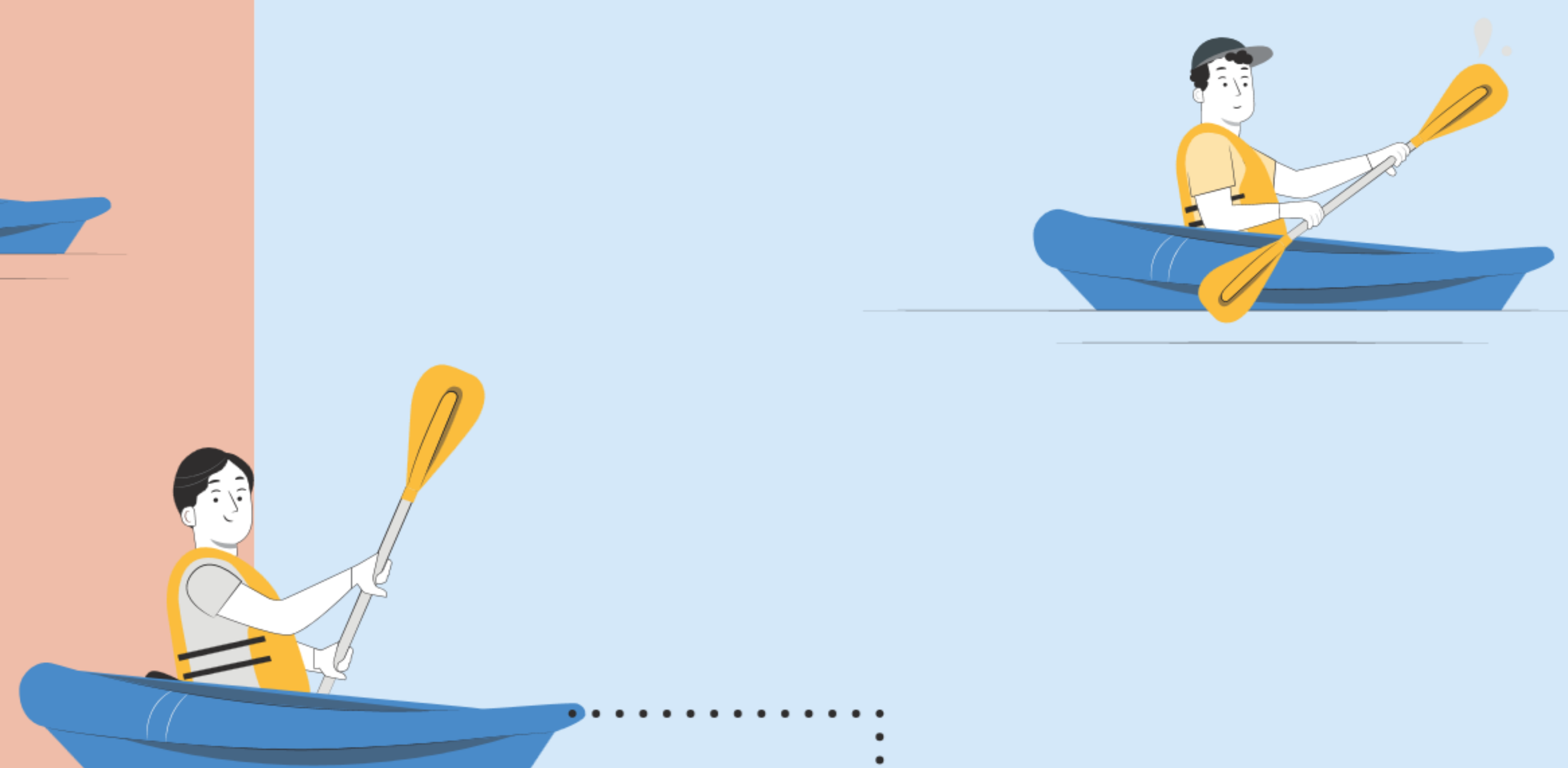


This reveals a paradox: while **blue ocean** opportunities exist, many companies remain fixated on competing within existing markets rather than exploring new markets where competition is less intense and growth potential is higher. Hence, **companies should be free from the red ocean** by innovating new market spaces. They can unlock untapped demand and position themselves for profitable and rapid growth in the blue oceans.

Existing Market



New Market



Companies Unlocking
New Market